Subsidized inputs do not really help farmers. They end up reducing farmers' income under the MSP system where farmers get a margin of over 50 per cent over the cost of cultivation, which gets lowered when subsidized inputs are used.

India has built a massive system of agriculture input subsidization since Independence. There was some rationale to subsidize inputs like fertilizer, seeds, electricity and water in the initial years to popularize their use to increase productivity of crops. These objectives have now been achieved. In fact, there is now overuse of fertilizers, electricity and water, which is proving counterproductive.

Input subsidy programmes have distorted markets. Many inefficient fertilizer-producing entities continue to exist, putting an undue burden on government finances. The Government of India foots a bill of over Rs 70,000 crore in fertilizer subsidies a year. Most states provide subsidized or free electricity to farmers to the tune of about Rs 1,00,000 crore a year. The Centre and states virtually underwrite payment of all interest on farm loans. The Government of India incurs an annual expenditure of about Rs 20,000 crore annually while state governments are estimated to provide another Rs 30,000 crore in interest subsidies. Water subsidies are not directly computable. India needs to replace input subsidies with direct cash transfer to farmers. Besides providing good income support, it would free farmers from the obligations of raising only certain crops and using the inputs provided through a highly convoluted system. In fact, farmers could have the freedom to raise whatever agricultural produce they wish to: field crops, horticultural products or animal husbandry. This would bring them true independence and much better incomes.

Do Away with the MSP Programme

India needed to nudge farmers to produce foodgrains owing to the perennial food deficit in the 1950s and 1960s.